■ RESP Guide

Registered Education Savings Plan — CESG · Strategies · Tax Implications

Account 3 of 4 · Tabs: RESP Portfolio · RESP Tracker

What is a RESP?

The Registered Education Savings Plan (RESP) is a tax-sheltered account designed to fund a child's post-secondary education. The federal government supercharges it with the Canada Education Savings Grant (CESG) — a guaranteed 20% return on your first $2,500 contributed per child per year. That's $500 free money, every year.

■ *The CESG is the best guaranteed return available to any Canadian investor. $2,500 contribution → $500 CESG instantly. No stock market, no risk, no effort required. Maximize it every year from birth until the child turns 17.*

CESG — Canada Education Savings Grant

CESG Rule	Detail
Grant rate	20% of your contribution — government matches $0.20 per $1.00
Annual maximum CESG	$500 per beneficiary per year (requires $2,500 contributed)
CESG lifetime maximum	$7,200 per beneficiary — once reached, no further CESG is paid for that child
Contribution for max CESG	$2,500/yr per child. Contributing more than $2,500 earns NO additional CESG
Contribution lifetime max	$50,000 per beneficiary — excess contributions = 1%/month penalty
CESG eligibility window	From birth until December 31 of the year the child turns 17
Catch-up CESG	Missed a year? Contribute up to $5,000 in one year to earn $1,000 CESG (one catch-up year at a time per child)
Canada Learning Bond (CLB)	Extra up to $2,000 for eligible low-income families — no contribution required

Tax Implications — RESP

Income Type / Event	Tax Treatment	Who Pays	CRA Details
Contributions	Not tax-deductible	N/A	No deduction. No T-slips for contributions.
Investment growth (inside)	Tax-deferred while in RESP	Nobody	No annual reporting. Growth compounds tax-free until withdrawal.
CESG grant received	Not income when received	Nobody	Log as Type = CESG in Transaction Log. No T-slip issued.

EAP withdrawal — CESG portion	Taxable income for the student	Student	Reported on student's T1 at their (very low) tax rate. Usually near 0%.
EAP — growth portion	Taxable income for the student	Student	Same as above. Student may pay near-zero tax while in school.
PSE withdrawal (contributions)	Tax-FREE — returned to subscriber	Nobody	Your original contributions come back to you with zero tax.
RESP collapse (no school)	Growth taxed at YOUR rate + 20% penalty	Subscriber	CESG repaid to government. Contributions returned tax-free. Avoid this.

■ *The biggest RESP tax advantage: investment growth that would be taxed at YOUR 28.2% marginal rate is instead taxed at the STUDENT's rate — often 0% to 15% while they are in school with little other income.*

Investment Strategy — RESP Glide Path

Unlike a TFSA or RRSP, the RESP has a fixed withdrawal date — when your child starts school. This means you MUST shift to safer investments as that date approaches.

Child's Age	Years to School	Strategy	Example ETFs
0–8 yrs	10–18 years	Aggressive growth — maximum compounding	TSE:XEQT, TSE:VGRO (100% equity)
9–13 yrs	5–9 years	Balanced — begin reducing risk gradually	TSE:XBAL, TSE:VBAL (60–80% equity)
14–16 yrs	2–4 years	Conservative — protect what you've built	TSE:XCNS, TSE:XBB (30–50% equity)
17+ yrs	0–1 years	Capital preservation — money needed soon	GICs, money market, T-bills

How to Log RESP Transactions in the Tracker

Transaction	Account	Type	What to Enter
Annual contribution	RESP	Contribution	Date, Amount in Col K (e.g. $2,500). No ticker needed.
Buy ETF/Stock	RESP	Buy	Ticker (TSE:XBAL), Shares, Price/Share
Sell ETF/Stock	RESP	Sell	Ticker, Shares sold, Sale price per share
Cash dividend	RESP	Dividend	Ticker (optional), dividend amount in Col K
DRIP	RESP	DRIP	Ticker, shares reinvested, Price/Share
CESG grant received	RESP	CESG	Amount received in Col K (e.g. $500). Feeds RESP Tracker lifetime total.
EAP withdrawal (school)	RESP	EAP	Amount withdrawn in Col K. Taxed in student's hands. Report on student's T1.

Family RESP vs Individual RESP

Feature	Family RESP	Individual RESP
Multiple beneficiaries	Yes — one plan for all children	No — one plan per child only
CESG sharing between kids	Not allowed — each child has own $7,200 limit	N/A
Redirect if child skips school	Reallocate to another beneficiary in same plan	Requires new plan or collapse
Best for	Families with 2 or more children	Single child or grandchild RESPs
This tracker supports	Up to 4 beneficiaries with individual CESG tracking	Fully supported